

Paradiem

The Morning Brief

JULY 25, 2026

Week in Review

*Weekly losses deepened as a chip-cohort rout and AI-capex reset offset Friday's oil pullback; the Iran conflict entered a fourth week without an off-ramp as the FOMC and Big Tech print gauntlet dominate the week ahead.*

|                              |                             |                                                          |                                                 |                                                                |
|------------------------------|-----------------------------|----------------------------------------------------------|-------------------------------------------------|----------------------------------------------------------------|
| S&P 500 (FRI CLOSE)          | NASDAQ (FRI CLOSE)          | WTI (USO FRI)                                            | BITCOIN (LIVE)                                  | FEAR & GREED                                                   |
| \$738.93 · ↓0.6% on the week | \$684.23 · ↓~2% on the week | \$136.69 · Brent ↑~12% on the week per Trading Economics | Weekend range near mid-\$60Ks per Yahoo Finance | CNN ~37 Fear per CNN · data drop returned crypto fallback (27) |

SECTION 01

Markets — Week in Review

A SECOND CONSECUTIVE WEEKLY LOSS AS THE AI-CAPEX RESET AND CHIP-COHORT ROUT OVERWHELMED FRIDAY'S OIL PULLBACK AND A LATE-WEEK DEFENSIVE BID

Per Yahoo Finance and CNBC coverage, all three major US indices posted a second consecutive weekly loss, with the S&P 500 ↓0.6% and the Nasdaq ↓~2% as the “Magnificent Seven” cohort collectively shed roughly \$800 billion in market value on Thursday amid a sell-off sparked by ballooning AI capex commitments per CNBC coverage. Per data drop, Friday’s tape stabilized the S&P 500 ↑0.10% at \$738.93 with the Dow ↑0.48% at \$518.76, while the Nasdaq gave back another ↓1.12% at \$684.23 as the chip-cohort rout continued — CRDO ↓9.87% (\$213.15), MRVL ↓7.21% (\$194.23), and TSM ↓2.93% (\$403.41) led the FCI Growth-Hybrid losers, while ServiceNow (NOW) rebounded ↑7.44% (\$98.78) validating Thursday’s post-close raised subscription-revenue guide referenced in the July 24 brief, and SSNC printed ↑10.35% (\$73.88) as the earnings-beat catch-up flowed through. The composition — XLRE ↑2.22%, XLB ↑1.93%, XLP ↑1.11% leading Friday while XLK ↓1.44% lagged — is consistent with position-management activity ahead of next week’s FOMC and Big Tech print sequence rather than a decisive directional move.

|                            |                                                                                           |
|----------------------------|-------------------------------------------------------------------------------------------|
| S&P 500                    | <b>\$738.93 · ↓~0.6% on the week per Yahoo</b>                                            |
| NASDAQ                     | <b>\$684.23 · ↓~2% on the week per Yahoo</b>                                              |
| BRENT<br>CRUDE<br>(BNO)    | <b>\$52.58 Fri · Brent ↑~12% on the week per Trading Economics before Friday pullback</b> |
| TLT (20Y BOND)             | <b>\$83.25 · Fri ↑0.10%</b>                                                               |
| GOLD (GLD) / SILVER (SLV)  | <b>\$371.90 / \$52.59 · SLV ↑1.02% Fri</b>                                                |
| BITCOIN /<br>ETHEREUM ETFS | <b>IBIT \$36.35 ↓0.82% Fri · ETHA \$14.04 · \$225M<br/>ETF net outflows per Yahoo</b>     |
| FCI WEEK<br>WINNERS        | <b>SSNC ↑10.35% Fri · NOW ↑7.44% Fri · LMT ↑2.46%<br/>Fri after Thu ↑10.54%</b>           |
| FCI WEEK<br>LOSERS         | <b>CRDO ↓9.87% · MRVL ↓7.21% · HOOD ↓6.57% ·<br/>HUT ↓6.53% Fri</b>                       |
| CARSON'S SPY<br>SUPPORT    | <b>\$645.80 active · Fri range \$737.29–\$743.72<br/>· not hit</b>                        |

**THE FOMC ON JULY 28–29 SITS DIRECTLY IN THE PATH OF THE MIDDLE EAST OIL REPRICING — CHAIR WARSH FACES A DATA-DEPENDENT DECISION WITH BRENT HAVING CLEARED \$100 INTRA-WEEK**

Per Federal Reserve schedule, the FOMC meeting concludes Wednesday, July 29 with the rate decision at 2:00 PM ET followed by Chair Kevin Warsh's press conference (no SEP is

released at this meeting). Per Chase, Forbes, and CoinGape framing, market consensus is for a hold at the current 3.50%–3.75% target range, though CBS News reporting flags that a subset of participants had shifted toward pricing a hike into July as inflation continued to run above the 2% goal. Per Chase reporting of Chair Warsh's prior press conference framing, Warsh has emphasized that inflation remains too elevated relative to the 2% goal and has indicated he does not intend to offer forward guidance. Per Reuters coverage cited in the data drop, Brent traded above \$100 mid-week for the first time since May before pulling back on Friday, and the two-week Middle East escalation has embedded a durable physical premium in the crude curve. For the FCI Dividend and Utility sleeves, Friday's tape captured the defensive rotation — ADP ↑2.97% (\$250.09), GPC ↑3.47% (\$124.21), SYK ↑3.54% (\$330.25), STLD ↑2.72% (\$247.11), and ATO ↑0.66% (\$179.22) — a composition consistent with markets pricing higher-for-longer positioning into the print. The June PCE release on Thursday, July 30 (per BEA release schedule) will land the morning after the FOMC and could re-set the near-term rates path if the energy pass-through moves the headline. **Simplicity Over Complexity.**

*The week's dispersion — Nasdaq ↓~2%, S&P 500 ↓~0.6%, Dow roughly flat, LMT ↑10.54% Thursday, chip cohort selling off Friday — argues that the physical-cash-flow sleeve continues to absorb what the AI-capex-heavy names are giving back. Next week's Warsh press conference, PCE print, and MSFT / META / AAPL / AMZN gauntlet will determine whether the second-half narrative resets around durable higher-for-longer or reverts to a rate-cut path. Research Reveals Opportunities.*

## Geopolitics — The Iran Conflict Entered a Fourth Consecutive Week Without an Apparent Off-Ramp as Trump Framed Talks as Ongoing While Tehran Signaled It Is Not Ready for a Deal; A Mozambique-Flagged LPG Tanker Was Attacked in Iranian Waters, the Saudi-Led Coalition Struck Houthi Targets in Yemen's Hodeidah, and Prediction Markets Now Price a 12-Month-Plus Timeline Before Hormuz Traffic Returns to Normal Per CNBC

### THE ESCALATION SEQUENCE BROADENED OVER THE WEEKEND AS ATTACKS EXTENDED INTO IRANIAN WATERS AND THE SAUDI-LED COALITION REOPENED THE YEMEN FRONT — THE COMPOSITION ARGUES AGAINST A NEAR-TERM DE-ESCALATION

Per Reuters coverage cited in the data drop, President Trump said Friday that the US and Iran are talking but that Tehran is not prepared to negotiate a deal, and separately Trump said he trusts Russia and China's leaders not to enable Iran — a framing that positions the diplomatic track as active but preliminary. Per Reuters cited in the data drop, a Mozambique-flagged LPG tanker was attacked in Iranian waters per the Indian embassy, marking a broadening of the maritime attack surface beyond the Red Sea Encelia / Layla incidents referenced in Wednesday's and Thursday's briefs. Per Reuters coverage cited in the data drop, the Saudi-led coalition said it struck Houthi targets in Yemen's Hodeidah, reopening a Saudi-Houthi kinetic front that had been largely dormant, and Reuters framed Yemen as teetering toward renewed war in the shadow of the Iran conflict. Per Reuters cited in the data drop, Pakistan and Iran are exploring a path toward new talks with the US in a China-initiated push. Per CNBC coverage cited in the data drop, prediction markets now price a 12-month-plus timeline before Strait of Hormuz traffic returns to normal — a market-derived estimate that materially recasts the LNG and crude curve structure the FCI Upstream and Utility sleeves ran into on Wednesday. Per data drop, oil pulled back Friday with USO ↓2.01% at \$136.69 and BNO ↓1.63% at \$52.58, but Brent still finished the week up roughly 12% per Trading Economics coverage before the Friday pullback — a composition consistent with markets extracting the near-term overshoot while retaining the durable chokepoint premium. **The physical world matters.**

### THE SELL-CHIPS, BUY-SOFTWARE ROTATION REAPPEARED AS WALL STREET CAPPED A VOLATILE WEEK — THE AI-CAPEX COHORT REPRICED WHILE SOFTWARE BENEFICIARIES ABSORBED THE FLOW, WITH DIRECT IMPLICATIONS FOR THE FCI GROWTH-HYBRID COMPOSITION

Per CNBC coverage cited in the data drop, the rotation out of merchant silicon and into software reappeared to close a volatile week as investors reassessed the durability of merchant-silicon margins against the record capex plans signaled by Alphabet (\$195B–\$205B FY26 raised per Q2 release) and Intel (approximately \$20B FY26 capex per July 24 report per TradingKey coverage). For the FCI Growth-Hybrid chip sleeve, Friday's tape aligned with the rotation: CRDO ↓9.87% (\$213.15), MRVL ↓7.21% (\$194.23), AMD ↓3.29% (\$521.95), TSM ↓2.93% (\$403.41), NXPI ↓2.90% (\$269.24), and LRCX ↓4.56% (\$305.21), while software-adjacent NOW recovered ↑7.44% (\$98.78) and SSNC advanced ↑10.35% (\$73.88) as the earnings-catch-up flowed through. Per Yahoo coverage cited in the data drop, Samsung and SK Hynix unveiled \$950 billion US chip supply partnerships — a data point that reinforces the physical-AI-infra-

structure spend cycle but compresses near-term merchant margins as capacity comes online. For the FCI Digital-Asset sleeve, IBIT ↓0.82% (\$36.35) and ETHA ↓0.50% (\$14.04) closed Friday alongside the reported \$225M Bitcoin ETF net outflows per Yahoo coverage cited in the data drop — snapping a seven-day inflow streak as Iran tensions and higher Treasury yields pressured crypto risk appetite. The FCI positioning through this rotation — capex-recipient utilities (CEG, VST, EIX), physical-AI infrastructure (HUT, HOOD adjacent), and merchant-silicon (NVDA, AMD, TSM) — captures both sides of the trade rather than requiring a directional call. **Think Like an Owner.**

|                    |                                                                                              |
|--------------------|----------------------------------------------------------------------------------------------|
| IRAN TALKS STATUS  | <b>Trump: Tehran not prepared to negotiate a deal per Reuters in data drop</b>               |
| TANKER ATTACK      | <b>Mozambique-flagged LPG tanker attacked in Iranian waters per Indian embassy / Reuters</b> |
| YEMEN FRONT        | <b>Saudi-led coalition struck Houthi targets in Hodeidah per Reuters</b>                     |
| HORMUZ TRAFFIC     | <b>12-month-plus normalization timeline per CNBC prediction markets</b>                      |
| DIPLOMATIC TRACK   | <b>Pakistan / Iran / US exploring talks in China—initiated push per Reuters</b>              |
| CHIP SELL-OFF FRI  | <b>CRDO ↓9.87% · MRVL ↓7.21% · AMD ↓3.29% · TSM ↓2.93%</b>                                   |
| SOFTWARE BID FRI   | <b>NOW ↑7.44% · SSNC ↑10.35% · SPGI ↑1.52%</b>                                               |
| SAMSUNG / SK HYNIX | <b>\$950B US chip supply partnerships unveiled per Yahoo</b>                                 |

## SECTION 03

# On Our Radar

**1. Week Ahead — The FOMC on July 28–29 and June PCE on July 30 Bracket the Print Cycle’s Peak Week, With Chair Warsh’s Second Press Conference Sitting Directly on the Middle East Oil Repricing.** Per Federal Reserve schedule, the FOMC decision lands Wednesday, July 29 at 2:00 PM ET with Chair Kevin Warsh’s press conference to follow (no SEP at this meeting). Per Chase and Forbes coverage cited in web reporting, the base case is a hold at 3.50%–3.75%, though CBS News framing captures the subset of participants who moved toward pricing a hike as inflation persisted above the 2% goal; per Chase coverage, Warsh has indicated he will not offer forward guidance. Per BEA release schedule, June PCE prints Thursday, July 30 — the first PCE observation to potentially reflect the mid-month energy pass-through from the Iran conflict. Per data drop and consensus framing, next week’s Big Tech earnings gauntlet runs Microsoft (MSFT) and Meta (META) Wednesday July 29 after the close and Apple (AAPL) and Amazon (AMZN) Thursday July 30, per Motley Fool and Kiplinger coverage. Per FactSet coverage referenced in the Motley Fool piece, S&P 500 Q2 earnings are on pace for approximately ↑24.7% year over year — the second straight quarter of ↑20%+ earnings growth. For the FCI Growth-Hybrid sleeve, Wednesday’s MSFT / META prints will directly frame the AI-capex sustainability debate that drove Thursday’s \$800B Mag 7 give-back per CNBC coverage. *Research Reveals Opportunities.*

**2. Weekend Middle East — The Multi-Front Attack Surface Broadened, LNG Term Structure Continues to Reprice, and Prediction Markets Set a 12-Month-Plus Hormuz Timeline; The FCI Upstream and Defense Sleeves Remain the Cleanest Read on the Physical-World Thesis.** Per Reuters coverage cited in the data drop, the maritime attack surface broadened with the Mozambique-flagged LPG tanker attacked in Iranian waters per the Indian embassy, and the Saudi-led coalition reopened kinetic operations against Houthi targets in Hodeidah with Yemen reported to be teetering toward renewed war. Per CNBC coverage cited in the data drop, prediction markets now price a 12-month-plus timeline before Hormuz traffic normalizes — a market-derived signal that materially recasts the LNG buyer negotiation posture referenced in Wednesday’s brief (Qatar / UAE flexibility push per Reuters exclusive). For the FCI Defense sleeve, Friday continued the LMT bid with LMT ↑2.46% (\$582.60), GD ↑1.30% (\$386.75) into the July 29 GD Q2 print, and the Upstream sleeve held with CVX ↑0.19% (\$194.79) and OKE roughly flat at \$93.16 despite the Friday crude give-back — a composition consistent with markets viewing the pullback as intra-week overshoot rather than a structural repricing. Carson’s SPY \$645.80 support remains active per levels.json, well-removed from Friday’s intraday range of \$737.29–\$743.72 per data drop — no level was hit this week. *The physical world matters.*

**3. NEE Q2 Beat and the ORI Second-Day Bid Argue That the FCI Utility and Dividend Sleeves Continue to Capture the Rotation Away From the Chip Cohort.** Per data drop, NextEra Energy (NEE) delivered Q2 EPS of \$1.15 versus the \$1.105 Zacks consensus — a modest beat that landed against the FCI utility-AI-power thesis referenced in Thursday's radar. NEE closed roughly flat Friday at \$89.78 after opening at \$90.91, while the broader FCI Utility cohort ran mixed: CEG ↓0.45% (\$274.35), VST ↓3.31% (\$163.38) after the prior-day bid, and EIX ↑0.14% (\$79.75). Per data drop, Old Republic International (ORI) — which missed Thursday's EPS (\$0.76 vs \$0.80 estimate) — rebounded ↑2.35% Friday at \$42.29 as buybacks and franchise commentary offset the headline miss per Yahoo coverage cited in the data drop. FCI Healthcare and Dividend broad participation captured the Friday rotation with SYK ↑3.54% (\$330.25), ABT ↑2.29% (\$103.06), GPC ↑3.47% (\$124.21), ADP ↑2.97% (\$250.09), and CHD ↑1.51% (\$97.64). The composition — regulated utilities, MedTech, staples, and payroll-services — reads as a defensive absorption of the chip-cohort give-back rather than fresh directional risk-taking. *Avoid Erosion.*

**4. Digital-Asset Sleeve — Bitcoin ETF Net Outflows of \$225M Snapped a Seven-Day Inflow Streak as Higher Yields and Iran Tensions Compressed Risk Appetite; HUT and MARA Gave Back After Thursday's AI-Infrastructure Rally.** Per Yahoo coverage cited in the data drop, Bitcoin ETFs shed \$225M Friday, snapping a seven-day inflow streak as higher US Treasury yields and Iran tensions weighed on crypto risk appetite. Per data drop, IBIT closed ↓0.82% at \$36.35 and ETHA ↓0.50% at \$14.04 — a relatively contained Friday move against the outflow backdrop. The mining and AI-infrastructure cohort gave back Thursday's bid: HUT ↓6.53% (\$109.99), MARA ↓5.09% (\$12.12), HOOD ↓6.57% (\$94.91) — the reversal of the Thursday HUT ↑7.11% rally cited in the July 24 brief. Per SeekingAlpha coverage cited in the data drop, the HUT AI infrastructure execution phase framing remains intact despite the Friday give-back, and per Benzinga coverage cited in the data drop, MARA held the neocloud-compute setup narrative. For the FCI Digital-Asset positioning, the Friday composition reinforces the framing that the mining names should be evaluated alongside the physical-AI infrastructure thesis rather than in isolation from the underlying token price action. *Think Like an Owner.*

**5. FCI Reporting Week — CVX and OKE Report the Front-End of the Oil-Chain Read, VST and CEG Frame the Utility-AI Print, and LRCX / QCOM / MRVL Frame the Semi Recovery Bar.** Per Wall Street Breakfast, Kiplinger, and Investing Live earnings coverage, the FCI reporting cohort next week includes major Growth-Hybrid and Dividend names alongside the Big Tech gauntlet. General Dynamics (GD) reports pre-market

Wednesday July 29, providing the direct read on the FCI Defense-adjacent positioning after LMT's cash-flow inflection. Vistra (VST) and Constellation Energy (CEG) — the FCI utility-AI-power core — report next week and will frame whether the AI-capex-driven power demand narrative continues to translate to backlog growth. Chip-cohort names LRCX, QCOM, and MRVL sit at the center of the “sell chips” rotation reset per CNBC framing. Per data drop, notable Friday pre-market prints included NEE (BEAT), AXP, CHTR, BAH, and LW — all of which cleared consensus per data drop earnings tape, supporting the broader Q2 earnings-growth trajectory of ↑24.7% per FactSet framing. *Simplicity Over Complexity.*